

Dyno Nobel Limited (ASX:DNL)

Scenario-based equity valuation — framework view and key assumptions

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Headline conclusion

Scenario	Per share	vs market	Driver
Orderly Convergence	AUD 4.16	+15%	Mining capex healthy; modest margin lift
Muddle Through (central)	AUD 3.59	-0.5%	Status-quo extension; transformation vs gas roll-off
AI Productivity Lag	AUD 3.48	-3.5%	Modest SG&A benefit; otherwise neutral
Fragmentation	AUD 2.63	-27%	Bloc-aligned trade exposure; supply chains
Disorderly Climate	AUD 1.44	-60%	Coal-customer attrition + carbon costs + capex
Stagflation Persists	AUD 1.28	-65%	Input-cost pass-through fails; capex slows

Market reference (21 May 2026): AUD 3.61. Anchored to H1 FY26 results (31 Mar 2026); valuation date 25 May 2026.

Key observations

The central case sits essentially at market. The framework's value-add is not in disagreeing with consensus on the central case but in the explicit scenario distribution around it. Two months of methodology refinement — single-WACC discipline, world-index beta, structural overlays for the gas-contract roll-off — closed a 30% gap that earlier drafts had carried.

Negative asymmetry is structural, ratio 4.0×. Stagflation drops AUD 2.31/share below Muddle Through; Orderly only adds AUD 0.57 above. Intrinsic to cyclical-industrials with elevated leverage. The framework deliberately exposes this rather than collapsing to a probability-weighted point estimate.

The two most consequential firm-specific variables are the US gas-contract roll-off (2028–2030 window, captured as a -50/-100/-150bps cumulative structural-headwind overlay in Y3/Y4/Y5) and the supplier-power-blocks-cost-pass-through dynamic under Stagflation (-3.5pp margin compression from broken input-cost pass-through). Both are routinely missed by conventional Australian sell-side DCFs.

1. Flow of logic

The framework is a three-step translation from world scenarios to company-specific per-share outcomes. Each step has explicit translation rules.

Step 1 — World scenarios

Six scenarios were selected via a structured workshop following a boundary-cases-plus-one-interior convention. Muddle Through is the interior most-likely; the other five are boundary cases spanning the plausible range across macro, geopolitical, climate and technology dimensions. Each scenario carries a macro_baseline block specifying DM real GDP, inflation, regional growth, gas prices and mining production growth, triangulated against published institutional scenarios for sanity. The framework's canonical output is the comparative view across all six; no probability-weighted blended number is produced.

Step 2 — Industry archetype (Porter Five Forces)

Industrial explosives at the industry level: mature oligopoly; top three (Orica, Dyno Nobel, MAXAM) hold ~65% of global market. Customer demand structurally tied to mineral-extraction volumes — open-cut mining of iron ore, coal, copper, gold, base metals, and transition minerals. Demand cyclicity follows mining capex cycles rather than commodity prices directly; capex decisions lag prices by 12–24 months.

Industry-level Five Forces ratings drive the impact-matrix translation rules for how each scenario flows into industry economics. The bindings:

- Buyer power: HIGH (binding). Mining-customer concentration; backward-integration credibility; bulk-ANFO price sensitivity.
- Supplier power: MODERATE. Ammonia and gas regionalised; long-term contracts shield producers; spot exposure bears it. Interacts with buyer power on pass-through.
- Threat of new entrants: LOW. Regulatory licensing; capex billions of dollars; on-site infrastructure switching costs.
- Threat of substitutes: LOW. Mechanical excavation uneconomic at scale; intra-industry tech substitution is rivalry not substitution.
- Rivalry: MODERATE. Concentrated; long-term contracts dampen day-to-day competition; periodic contract-renewal events drive intensity.

The buyer × supplier interaction is the binding constraint: under sustained input-cost inflation, mining-customer push-back blocks full pass-through. This is the mechanism that compresses margin in Stagflation and Disorderly Climate.

Step 3 — Company position

Step 3 is organised force-by-force: for each Five Forces element, the framework specifies the industry rating, how Dyno Nobel differs from the industry average, the specific mechanism, the quantified delta, and where the effect is captured in the model (preventing double-counting with structural overlays). Section 3 sets this out in detail.

2. World scenarios

Each scenario is a structured description of the macro / geopolitical / climate / technology environment over the explicit forecast horizon. The descriptions below are summary; full narratives sit behind the framework.

Muddle Through (interior, most-likely)

Developed-market real GDP growth ~2.0% with inflation gradually normalising toward 2.5%. Mining-customer capex cycle continues at current pace. No commodity boom or bust; geopolitics managed without escalation; climate transition gradual but costly. The status-quo extension. Maps to: IMF World Economic Outlook baseline (October 2025), OECD Economic Outlook central case, World Bank Global Economic Prospects baseline.

Orderly Convergence (upside boundary)

Productivity acceleration combined with ordered geopolitics. DM real GDP 2.5%, inflation contained at 2.0%, mining real growth 4.0%, gas prices easing. Rates lower; equity risk premium contained. Mining demand strong; transition-mineral capex supportive. Maps to: OECD upside alternative, IEA Announced Pledges Scenario (APS), NGFS 'Below 2°C' scenario for the climate component.

Stagflation Persists (macro-downside boundary)

Persistent stagflation: weak real growth (0.5%), high inflation (4.5%), high gas costs (5% growth). Cost squeeze breaks pass-through (gross margin -3.5pp + input cost pass-through -3.5pp). Rates remain elevated (+200bps Rf); risk-off (+75bps ERP). Maps to: IMF Adverse Scenario (Article IV stress-test variant), Bank of England stagflation stress test, OECD downside alternative.

Fragmentation (geopolitical-downside boundary)

Trade fragmentation and resource nationalism. DM real GDP 1.0%, inflation 3.5%, mining real growth 1.5%, gas prices 4%. Supply chains fracture; price-mix and volume both compressed; cost pressure with partial pass-through. Country risk premium widens. Maps to: IMF working-paper 'Goeconomic Fragmentation' scenarios, OECD trade-fragmentation alternative.

Disorderly Climate Crystallisation (climate-downside boundary)

The scenario captures the crystallisation event — not whether climate transition becomes disorderly (it already is, per the workshop framing) but the point at which the disorder materially repriced. Carbon costs accelerate; mining mix shifts (thermal coal down, transition metals up); gas-led cost pressure (+6% gas). Margin -3pp; +3pp capex for decarbonisation; terminal growth -75bps. Maps to: NGFS 'Disorderly Transition' or 'Delayed Transition' scenarios, IEA Stated Policies Scenario (STEPS) underperform variants.

AI Productivity Lag (technology-downside boundary)

AI fails to deliver economy-wide TFP gains. Modest labour-cost benefit (-0.5pp SG&A through narrow labour substitution in white-collar functions) but disappointing macro outcomes (1.7% real GDP). Mining-services industries less exposed than tech-heavy sectors. Less directly mapped to institutional scenarios; closest analogue is the IMF World Economic Outlook 'lower TFP' alternative discussed in recent staff working papers.

3. Dyno Nobel company position

Dyno Nobel's company-specific exposure to the industry's Five Forces is set out below, force-by-force. For each force: the industry archetype's rating, how Dyno Nobel differs from the industry average, the specific mechanism, and the quantified impact on the forecast.

Buyer power

Industry rating: HIGH (binding). Dyno Nobel position: at industry average. Customer mix is the same as Orica's — mining majors (BHP, Rio Tinto, FMG in Australia; major US miners in North America), top five ~45% of revenue, top ten ~65%. No specific moat or weakness relative to the industry leader. Impact: 0.

Supplier power

Industry rating: MODERATE. Dyno Nobel position: LOWER (favourable). Long-term US gas supply contracts insulate ~70% of US gas exposure through 2028. Below-market gas pricing relative to spot-exposed competitors. Concentrated roll-off in the 2028–2030 window. Impact: +200bps margin currently, eroding to 0 by FY31. Captured in the model via the gas-contract roll-off overlay (-50 / -100 / -150bps cumulative Y3 / Y4 / Y5).

Threat of new entrants

Industry rating: LOW. Dyno Nobel position: LOWER (favourable in emerging markets). In LATAM and Africa, Dyno Nobel itself is the new entrant via the DNEL ramp. Sub-scale operations growing from a low base against underdeveloped Tier 2/3 local incumbents — conditions reversed from the mature-market norm. Impact: +15bps growth, time-limited to 3–5 years.

Threat of substitutes

Industry rating: LOW. Dyno Nobel position: at industry average. Mechanical excavation is uneconomic at scale for hard-rock mining; intra-industry technology substitution (electronic detonators displacing non-electronic) affects all players similarly. No company-specific substitution exposure. Impact: 0.

Rivalry

Industry rating: MODERATE. Dyno Nobel position: HIGHER (unfavourable). Dyno Nobel is the #2 global player against Orica's #1. Orica's scale advantage (~30% larger by revenue), technology lead in electronic detonators (Webgen, BlastIQ blast-design platform), and broader geographic diversification translate to ~30bps faster revenue growth at the same exposure in mature markets. Impact: -30bps growth.

Within rivalry, a product-mix sub-component: Dyno Nobel is more weighted to bulk ANFO (~50% of revenue) and less exposed to higher-growth electronic detonators (~18%) and software / services. The mix-shift advantage accrues to Orica more than to Dyno Nobel. Impact: -10bps growth.

Net company-position offset

Component	Force	Δ to growth
Competitive position vs leader	Rivalry	-30bps
Product mix vs industry average	Rivalry (sub)	-10bps
DNEL pipeline (LATAM / Africa)	New entrants	+15bps
Buyer / supplier / substitutes	(others)	0
Net company-position growth offset		-25bps

The supplier-power favourable position (US gas contracts) manifests on the margin side via the structural-headwind overlay, separately from the growth-side decomposition above.

4. Key calibration anchors

- Base year (FY26 continuing operations): revenue AUD 3,400m; EBIT margin 14.1% (= AUD 480m FY26 EBIT guidance midpoint / AUD 3,400m revenue; corporate costs already deducted in the segment guidance per investor presentation slides 27 and 28).
- Transformation margin glide: +60 / +180 / +200 bps Y1-Y3 cumulative. Y1 reconciles to the FY26 exit run rate of AUD 495-525m disclosed at the half-year; Y2 aligns to the AUD 600m FY28 ambition; Y3 onward flat.
- Gas-contract roll-off overlay: -50 / -100 / -150 bps cumulative Y3 / Y4 / Y5. Captures the 2028-2030 contract erosion explicitly rather than deferring to terminal state.
- Tax glide: effective 22.5% (Y1, per FY26 guidance midpoint) linearly to blended statutory 27.5% (Y5 / terminal). Blended statutory computed from jurisdictional weights $\times$ statutory rates (US 26% at 55% revenue mix, Australia 30% at 35%, other 27% at 10%). Single-rate consistency: the blended statutory rate is used for terminal operating tax, the debt-tax-shield in WACC, and Hamada re-levering of beta.
- Shares outstanding: 1,770m at 31 March 2026 (period-end H1 FY26). Pair-anchored to net debt; no buyback projection (on-market buyback at fair value is value-neutral).
- Equity bridge adjustments per H1 results slide 29: dividend AUD 81m + Phosphate Hill ARO net AUD 44m + inventory commitment AUD 80m + Geelong remediation AUD 35m + Gibson Island remediation AUD 97m + transaction costs AUD 11m + restructure execution AUD 12m. Less probability-weighted receivables: Perdaman AUD 73m (50% probability), IPF Distribution AUD 106m (85% probability), Phosphate Hill contingent AUD 30m (30% probability).

5. Cost of capital build

Component	Value	Source / convention
Risk-free rate (Rf)	4.30%	10-year on-the-run Commonwealth of Australia government bond yield, May 2026
Equity risk premium (ERP)	5.00%	Damodaran-style mature-Australia ERP
Beta (re-levered)	0.95	World-index basis (AUD-MSCI World), Hamada re-levered. ASX200-derived would be ~1.05-1.10
Cost of equity (Re)	9.05%	$R_f + \beta \times ERP$
Cost of debt, pre-tax	6.00%	AUD BBB spread ~170bps (current rating BBB / Baa2)
Tax rate (consistency)	27.5%	Blended statutory; same rate as terminal operating tax
Cost of debt, after-tax	4.35%	$R_d \times (1 - 0.275)$
E/V	83.5%	AUD 6,390m equity / AUD 7,651m EV
D/V	16.5%	AUD 1,261m net debt / AUD 7,651m EV
Applied WACC	8.28%	Constant across all six scenarios — single-WACC discipline

Each scenario already prices its risk through the cash-flow path. Using a higher discount rate in a stress scenario would double-count: beta already captures the systematic risk of the conditional distribution. Single-WACC discipline holds WACC constant across scenarios.

6. Per-scenario impact

Scenario	Revenue growth	Y5 margin	Terminal g	Per share	Dominant driver
Muddle Through	6.2%	14.6%	2.50%	AUD 3.59	Status-quo extension
Orderly Convergence	7.4%	15.1%	2.75%	AUD 4.16	Strong mining demand; rates supportive
AI Productivity Lag	5.5%	15.1%	2.25%	AUD 3.48	Modest productivity SG&A benefit
Fragmentation	6.3%	11.6%	2.25%	AUD 2.63	Bloc trade frictions; margin compression
Disorderly Climate	7.6%	11.6%	1.75%	AUD 1.44	Carbon flow-through; capex demands
Stagflation Persists	5.5%	7.1%	2.25%	AUD 1.28	Pass-through fails; capex slows

Asymmetry

Upside (Orderly – MT): +AUD 0.57. Worst downside (MT – Stagflation): –AUD 2.31. Ratio 4.05×. The asymmetry is structural to Dyno Nobel's profile — cyclical industrial, elevated leverage, supplier-power-blocks-pass-through dynamic, coal-customer terminal-state exposure — and conventional analyses systematically understate it because they use scenario-conditional WACCs that smooth the cash-flow asymmetry, assume input costs pass through, and extrapolate static terminal ROIC.

Three transmission channels that drive most of the scenario exposure

Input-cost pass-through under sustained inflation (supplier × buyer interaction). The industry archetype's moderate supplier-power rating means mining-customer push-back blocks full pass-through. The binding constraint under Stagflation; also active under Disorderly Climate via carbon-cost flow-through. Watchable signals: Australian east-coast gas prices (no Dyno Nobel contract protection); US natural gas curve through 2028-2030 (where contracts roll off); mining-customer contract reset patterns.

Geographic / bloc-alignment exposure (new entrants / regulatory). 55% US revenue + 35% Australia: both sit in the US-aligned bloc. Under Fragmentation, the US-aligned bloc is the slower-growing one, and cross-bloc ammonia and ammonium-nitrate flows are regulatorily sensitive. Watchable signals: Australian bloc-alignment trajectory; cross-bloc trade restrictions on ammonium nitrate; mining-customer export-market dynamics.

Terminal-state coal-customer attrition (buyer power, long horizon). Coal-mining customers represent ~35% of the customer mix (~20% thermal, ~15-20% metallurgical). Under Disorderly Climate, the customer base shifts faster than a standard fade period assumes; captured as a -75bps terminal-growth delta plus a defended-exception terminal ROIC. Watchable signals: thermal coal customer capex announcements; met coal demand trajectory (green-steel substitution timing); transition-mineral mining capex acceleration; carbon-pricing trajectory in Australia and US.